401(k) Plan Orientation & Annual Review Checklist

A simple guide for new enrollees and yearly plan check-ins

SECTION 1 — New Enrollment Checklist

- ■ Confirm eligibility and enrollment window with your HR or plan administrator
  Most plans allow enrollment within 30–90 days of hire or during open enrollment.
- ■ Complete enrollment forms (online portal or paper forms)
- ■ Choose your contribution amount (percentage of salary or flat dollar amount)
  Check IRS guidelines for the current year's contribution limits.
- ■ Set up or verify your payroll deduction / direct deposit
- ■ Designate a beneficiary — keep a copy of the signed form
  Update beneficiary after major life events: marriage, divorce, birth of a child.
- ■ Select your investment options from the plan's fund menu
  Consider target-date funds if unsure — they auto-adjust as you near retirement.
- ■ Check if your plan offers employer stock as an investment option — review concentration risk before investing heavily in a single company
  Holding too much employer stock concentrates risk. Diversification is generally recommended.
- ■ Ask if your plan includes a self-directed brokerage option — this may allow you to invest in stocks, ETFs, or funds outside the standard plan lineup
  Not all plans offer this feature. A self-directed brokerage option may have additional fees and requires greater investment knowledge.
- ■ Determine whether your plan offers Roth (after-tax) and/or traditional (pre-tax) contributions — choose based on your current vs. expected future tax situation
  Roth contributions grow tax-free but are made with after-tax dollars. Pre-tax contributions reduce taxable income now but are taxed upon withdrawal. Not all plans offer both options.
- ■ Check if your plan allows after-tax contributions — this may allow you to contribute beyond the standard annual pre-tax/Roth limit up to the overall plan limit
  After-tax contributions are distinct from Roth contributions. Some plans allow a strategy sometimes called the 'mega backdoor Roth.' Check your plan documents and consult a tax advisor.
- ■ Review your employer match formula (e.g., 50% match up to 6% of pay)
  Always contribute at least enough to capture the full employer match.
- ■ Understand the vesting schedule — when employer contributions become fully yours
  Vesting schedules vary — cliff (all at once) or graded (partial each year).
- ■ Save your plan login credentials and participant account number
- ■ Review the Summary Plan Description (SPD) provided by your employer
  The SPD outlines all rules, rights, and features of your plan.

SECTION 2 — Annual Review Checklist

- ■ Review your account balance and year-to-date contributions
- ■ Confirm your contribution rate and increase it if possible
  Even a 1% increase can make a meaningful difference over time.
- ■ Verify you are on track to capture the full employer match
  Leaving employer match money on the table is effectively leaving part of your compensation unclaimed.
- ■ Review and rebalance your investment allocations
  Rebalancing realigns your portfolio back to your target allocation after market shifts.
- ■ Verify beneficiary designations are still accurate and up to date
  Life changes may require updating beneficiaries — review at least once a year.
- ■ Review investment fund performance and expense ratios (fees)
  Lower expense ratios generally mean more money stays in your account over time.
- ■ Check for any plan changes communicated by your employer or administrator
  Plans may change fund options, fees, or matching formulas from year to year.
- ■ Update your contribution amount based on current IRS annual limits
  Check IRS guidelines for the current year's contribution and catch-up limits.
- ■ Review whether your plan offers employer stock — reassess concentration if held
  Employer stock can be a benefit but also a risk — consider diversifying if overweighted.
- ■ Review your overall retirement savings strategy across all accounts

SECTION 3 — After a Major Life Event

- ☐ Marriage or divorce — update beneficiary and consider contribution adjustments
- ☐ Birth or adoption of a child — update beneficiary designation
- ☐ Job change — decide whether to roll over, leave, or cash out your balance
  Cashing out typically triggers taxes and an early withdrawal penalty in most cases. Rolling over avoids this.
- ☐ Approaching eligible catch-up contribution age — take advantage of higher limits
  Check IRS guidelines for current catch-up contribution limits and eligibility age.
- ☐ Separated from service at age 55 or older — you may qualify for the Rule of 55, allowing penalty-free withdrawals from your current employer's plan
  The Rule of 55 applies only to the plan of your most recent employer and does not apply to IRAs. Conditions and plan rules vary — consult your plan administrator and a tax advisor.
- ☐ Approaching age 59½ — review withdrawal options (penalty-free withdrawals begin)
- ☐ Approaching RMD age — understand Required Minimum Distribution rules and timing
  Check IRS guidelines for current RMD age requirements and calculation rules. Failure to take RMDs may result in a substantial excise tax.
- ☐ If you hold employer stock in your plan — review Net Unrealized Appreciation (NUA) rules before taking any distribution
  NUA is the difference between your cost basis and the current market value of employer stock. A lump-sum distribution of employer stock may allow the NUA to be taxed at lower long-term capital gains rates rather than ordinary income rates. This is a complex strategy — consult a tax advisor before taking any distribution.

IMPORTANT DISCLOSURES

Investment Risk: Investing involves risk, including the possible loss of principal. Past performance is not a guarantee of future results. The value of investments may fluctuate, and investors may receive back less than they invest.

Plan Differences: 401(k) plan features, contribution limits, vesting schedules, investment options, and employer matching formulas vary by employer and plan. Always refer to your plan's Summary Plan Description (SPD) and consult your plan administrator for details specific to your plan.

Employer Stock Risk: If your plan offers employer stock as an investment option, be aware that investing heavily in a single company's stock — especially your employer's — concentrates risk. Diversification across multiple investments is generally recommended to help manage risk.

Net Unrealized Appreciation (NUA): NUA is the difference between the original cost basis of employer stock held in your plan and its fair market value at the time of distribution. Under certain conditions, a lump-sum distribution of employer stock may allow the NUA portion to be taxed at long-term capital gains rates rather than ordinary income rates, which may be advantageous. NUA rules are complex and not all situations qualify. Consult a qualified tax advisor before taking any plan distribution.

After-Tax Contributions: Some plans permit after-tax (non-Roth) contributions beyond the standard elective deferral limit, up to the overall plan limit set by the IRS. These contributions may be eligible for conversion to Roth within the plan or upon rollover, sometimes referred to as the 'mega backdoor Roth' strategy. Plan rules vary and not all plans allow this. Consult a tax advisor to determine whether this strategy is appropriate for your situation.

Tax Considerations: Traditional 401(k) contributions are made on a pre-tax basis; withdrawals in retirement are taxed as ordinary income. Roth 401(k) contributions are made after-tax; qualified withdrawals may be tax-free. Consult a qualified tax advisor regarding your specific situation.

Early Withdrawal Penalty: Withdrawals made before age 59½ are generally subject to an IRS early withdrawal penalty in addition to ordinary income tax, unless a qualifying exception applies. Certain hardship distributions or plan loans may be available — refer to your plan documents.

Rule of 55: If you leave your employer in or after the year you turn 55 (age 50 for certain public safety employees), you may be able to take penalty-free withdrawals from that employer's 401(k) plan. This exception does not apply to IRAs, and not all plans permit it. Income taxes still apply. Consult a tax advisor and your plan administrator before taking withdrawals.

Required Minimum Distributions (RMDs): Federal law requires participants to begin taking minimum distributions from their 401(k) once they reach the applicable RMD age. RMD rules, ages, and calculation methods are subject to change by Congress and the IRS. Visit IRS.gov for current requirements. Failure to take RMDs may result in a substantial excise tax.
IRS Contribution Limits: The IRS sets annual limits on 401(k) contributions, including catch-up contributions for eligible participants. These limits may change each year. Check IRS.gov for the most current contribution limits before making decisions.
Not Financial or Legal Advice: This checklist is provided for general informational and educational purposes only. It does not constitute financial, investment, tax, or legal advice. Individual circumstances vary. You are encouraged to consult a qualified financial advisor, tax professional, or attorney before making decisions about your retirement plan.
No Guarantee of Retirement Income: Contributing to a 401(k) does not guarantee a specific level of income in retirement. Retirement outcomes depend on many factors including contribution amounts, investment returns, fees, inflation, and the length of your retirement.
Employer Plans Subject to Change: Employer-sponsored plans may be amended, modified, or discontinued at the discretion of the employer, subject to applicable law. Always review plan communications and updates from your employer or plan administrator.

This checklist is for general reference only. Plan rules and tax laws are subject to change. Always verify information with your plan administrator and qualified advisors. Visit IRS.gov for current guidelines.